FMO

“The most difficult thing is the decision to act, the rest is merely tenacity.”

—Someone Famous

Financial Statements

FMO

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- ✓ **Forecasting and Planning**: Setting realistic goals, identifying potential risks, and making informed decisions.

- ✓ **Valuation**: Valuing businesses, projects, or investments.

- ✓ **Capital Budgeting**: Evaluating capital investment decisions, investment returns, and prioritize investment opportunities.

- ✓ **Risk Analysis**: Evaluating the impact of uncertainties on financial performance and implement risk mitigation.

- ✓ **Decision Support**: Providing insights into the financial implications of different decisions and scenarios

Intro to Fincial Statements

Why Financial Statements ?

- To meet information needs for accountability and decision making
- Management and Business need information about:
  - The performance of the entity e.g. meeting service delivery and other operating and financial objectives;
  - Managing resources
  - Complying with legislative & other authority
  - Liquidity and solvency The ease of converting an asset into cash at or near its fair market value The capacity of a business to pay off long-term debts and remain financially stable
  - Sustainability of service delivery and other operations
  - Capacity to adapt to changing circumstances

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What is Financial Statement ?

A financial statement is a quantitative way of showing how a company is doing.

Different ways of representing the financial state of a company:

1. Can the company meet its obligations? **Cash Flow Statement**

2. Is the company making money/ profit ? **Income statement**

3. What is the value of the company? Who owns what -**Balance sheet**

Cash Flow Statement

- A report of all a firm's transactions that involve cash
- The key elements are revenues (money flowing in) and expenses (money flowing out).
- Cash flow statements compare the sum of the revenues to the sum of the expenses on a regular time basis – usually monthly.

Revenue and Expenses

- Revenue

- Sales

- Interest from firm's investments (e.g., a company savings account)

- Royalty and Licensing payments

- Expenses (Fixed and Variable)

- Rent payments
- Salary of employees
- Capital Investments and maintenance
- Utilities (phone, water, electric, etc)
- Insurance

- Materials Cost
- Supplies
- Outside / Contracted labor

Cash Flow Statement

	Jan-00	Feb-00	Mar-00
REVENUES (inflow)			
SALES	$0.00	$0.00	$1,000.00
INTEREST		$239.27	$167.04
RECEIPTS	$0.00	$239.27	$1,167.04
EXPENDITURES (outflow)			
MATERIALS COST AND MFG. LABOR	$0.00	$0.00	$50.00
SALES COMMISSIONS	$0.00	$0.00	$100.00
COST OF GOODS SOLD (COGS)	$0.00	$0.00	$150.00
GROSS MARGIN	$0.00	$239.27	$1,017.04
SALARY AND BENEFITS OF CEO	$3,000.00	$3,000.00	$3,000.00
SALARY AND BENEFITS OF ASSISTANT	$2,000.00	$2,000.00	$2,000.00
RENT	$500.00	$500.00	$500.00
TELEPHONE AND OTHER	$75.00	$75.00	$75.00
ADVERTISING	$2,000.00	$2,000.00	$2,000.00
EQUIPMENT	$20,000.00	$10,000.00	$10,000.00
TOTAL FIXED COSTS	$27,575.00	$17,575.00	$17,575.00
MONTHLY CASH FLOW	($27,575.00)	($17,335.73)	($16,557.96)

Cash Flow Statement

"Receipts" is the sum of all the firm's sales and interest it collected that month

Gross Margin is the Receipts minus the COGS

Total Fixed Costs is the sum of all the fixed costs

Monthly Cash flow is the Gross Margin minus the Total Fixed Costs

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Cash Flow Statement

- A new startup has sales of $m500/month, COGS of $m200/month, pays $m50/month in salary, and has no other fixed costs, what is that firm's three month cash flow statement?

Cash Flow Statement-Solution

	January	February	March
Revenues (Sales)	$m500	$m500	$m500
COGS	$200	$200	$m200
Salary	$m50	$m50	$m50
Monthly Cash Flow	**$m250**	**$m250**	**$m250**

Missing elements

- Cumulative Cash Flow numbers

  - Break-even Analysis: Shows when cumulative cash flow turns positive (project payback point).

- Taxes (… and accumulated depreciation)

- Net Earnings

Net Book Value=Asset Cost - Accumulated Depreciation

THE CHAIN OF EARNINGS

EBIDT (Earnings Before Interest, Depreciation and Tax)

(- accrued depreciation) essentially the same as accumulated depreciation

EBIT (Earnings Before Interest and Tax)

(- taxes paid once a year)

EBI (Earnings Before Interest and Tax)

(- interest payments on your debt)

TOTAL EARNINGS

Calculating Depreciation

- Continue depreciation on items purchased in earlier years, using previously established methods
- Sum up all of that fiscal year's capital expenses
- Decide which method of Depreciation your firm wants to use (Straight Line or Accelerated)
- Determine the useful lifetime for the assets
- Determine the salvage value residual value or scrap value
- Use the formulas to calculate depreciation on new equipment
- Add up all depreciation contributions

- NOTE: while EBIDT may be a monthly figure – since taxes and depreciation are only calculated once a year – EBIT, EBI, and net earnings MUST be Year-End numbers.

Calculating Taxes

- Take the EBIDT and subtract the depreciation – this yields Earnings Before Interest and Tax
- Then calculate profit (or earnings) before taxes by subtracting interest expenses.
- Then multiply the profit before taxes by your effective tax rate – that will give the corporate income taxes the firm owes.

Final Cash Flow Statement

Cash Flow of Widget Start-Up Company, FY2001				
Assumptions				
LOAN 1-00				
Annual Interest Rate for loan				
Annual Interest Rate for company invested funds				
Life Cycle of Equipment				
Salvage Value of Equipment				
Commission for Sales Staff (as % of total sales)				
Effective Annual Tax Rate				
	Sep-00	Oct-00	Nov-00	Dec-00
REVENUES (inflow)				
SALES	$22,000.00	$28,000.00	$35,000.00	$46,000.00
INTEREST	$39.14	$85.66	$153.62	$246.65
RECEIPTS	$22,039.14	$28,085.66	$35,153.62	$46,246.65
EXPENDITURES (outflow)				
MATERIALS COST AND MFG. LABOR	$1,100.00	$1,400.00	$1,750.00	$2,300.00
SALES COMMISSIONS	$2,200.00	$2,800.00	$3,500.00	$4,600.00
COST OF GOODS SOLD (COGS)	$3,300.00	$4,200.00	$5,250.00	$6,900.00
GROSS MARGIN	$18,739.14	$23,885.66	$29,903.62	$39,346.65
SALARY AND BENEFITS OF CEO	$3,000.00	$3,000.00	$3,000.00	$3,000.00
SALARY AND BENEFITS OF ASSISTANT	$2,000.00	$2,000.00	$2,000.00	$2,000.00
RENT	$500.00	$500.00	$500.00	$500.00
TELEPHONE AND OTHER	$75.00	$75.00	$75.00	$75.00
ADVERTISING	$2,000.00	$2,000.00	$2,000.00	$2,000.00
EQUIPMENT	$0.00	$0.00	$0.00	$0.00
TOTAL FIXED COSTS	$7,575.00	$7,575.00	$7,575.00	$7,575.00

Statement of Cash Flow

- The statement of cashflows shows the firm's cash inflows and outflows from
  - Operations
  - Investments and
  - Financing
- The form of this statement is determined by accounting standards.

Statement of Cash Flow

- Operating activities are earnings-related activities. Generally these relate to Income Statement activities, and items included in working capital. Included are:
  - Sales and expenses necessary to obtain sales
  - Related operating activities, such as extending credit to customers
  - investing in inventories
  - obtaining credit from suppliers
  - payment of taxes
  - insurance payments
  - Other activities that don't easily fit into the other two categories, such as settlements in lawsuits.

Statement of Cash Flow

- Investing activities relate to the acquisition and disposal of noncash assets: assets which are expected to generate income for the company over a period of time.

- These include lending funds and collecting on these loans.

- Financing activities relate to the contribution, withdrawing and servicing of funds to support business activities.

Statement of Cash Flow

Net Income	**3,313**
Operating Activities, Cash Flows Provided By or Used In	
Depreciation	1,112
Adjustments To Net Income	-390
Changes In Accounts Receivables	-260
Changes In Liabilities	704
Changes In Inventories	-53
Changes In Other Operating Activities	201
Total Cash Flow From Operating Activities	**4,627**
Investing Activities, Cash Flows Provided By or Used In	
Capital Expenditures	-1,437
Investments	757
Other Cashflows from Investing Activities	153
Total Cash Flows From Investing Activities	**-527**
Financing Activities, Cash Flows Provided By or Used In	
Dividends Paid	-1,041
Sale Purchase of Stock	-1,734
Net Borrowings	-404
Total Cash Flows From Financing Activities	**-3,179**
Effect Of Exchange Rate Changes	34
Change In Cash and Cash Equivalents	**$955**

Sample Cash Flow

Particulars	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25
Decrease/(increase) in Sundry Debtors	5,408,231	-4,916,433	367,349	191,412	-2,394,474	-828,821	-3,494,339	-3,258,231	-41,061,545
Net Cash from operating activities before income tax	-2,503,076	-4,791,911	-1,480,764	-1,003,853	-3,172,871	-6,677,985	-8,164,567	-2,599,100	-11,100,039
Less:Income taxes paid									
Net Cash generated from/(used in) operating activities (A)	**-2,503,076**	**-4,791,911**	**-1,480,764**	**-1,003,853**	**-3,172,871**	**-6,677,985**	**-8,164,567**	**-2,599,100**	**-11,100,039**
II. Cash flow from Investing Activities									
Sale/(purchase) of Fixed Assets	-594,709	-569,005	-89,280	-50,000	266,000	-170,760	-1,361,000	-50,000	-8,673
Net Cash generated from/(used in) investing activities (B)	**-594,709**	**-569,005**	**-89,280**	**-50,000**	**266,000**	**-170,760**	**-1,361,000**	**-50,000**	**-8,673**
II. Cash flow from Financing Activities									
Increase/(decrease) in Non Current Liabilities	-3,382,321	2,254,303	1,678,406	1,321,774	5,200,151	2,195,381	9,150,954	12,480,609	8,759,731
Increase/(decrease) in Share Capital	-	-	-	-	-	-	-	-	-
Net Cash generated from/(used in) financing activities (C)	**-3,382,321**	**2,254,303**	**1,678,406**	**1,321,774**	**5,200,151**	**2,195,381**	**9,150,954**	**12,480,609**	**8,759,731**
Net increase/(decrease) in cash and cash equivalents(A+B+C)	**-6,480,106**	**-3,106,614**	**108,362**	**267,922**	**2,293,280**	**-4,653,364**	**-374,613**	**9,831,509**	**-2,348,981**
Add: Cash and cash equivalents at the beginning of the year	13,063,651	6,583,548	3,476,933	3,585,296	3,853,210	6,146,493	1,493,133	1,118,514	10,950,024
Cash and cash equivalents at the end of the year	**6,583,544**	**3,476,934**	**3,585,296**	**3,853,217**	**6,146,490**	**1,493,129**	**1,118,520**	**10,950,024**	**8,601,043**